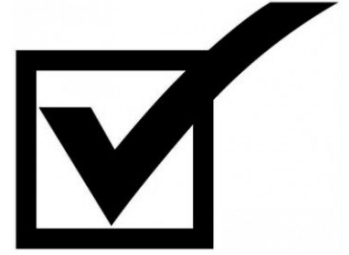


**BUSINESS
PROFESSIONALS**
of **AMERICA**
Giving Purpose to Potential



Fundamental Accounting

(100)

State 2025

CONCEPT KNOWLEDGE:

Multiple Choice (30 @ 2 points each) _____ (60 points)

APPLICATION KNOWLEDGE:

Account Identification (15 @ 3 points each) _____ (45 points)

Short Answer (17 @ 3 points each) _____ (51 points)

Job 1: Net Income Effects _____ (40 points)

Job 2: Financial Analysis _____ (42 points)

TOTAL POINTS _____ ***(238 points)***

Test Time: 90 minutes

GENERAL GUIDELINES:

Failure to adhere to any of the following rules will result in disqualification:

1. Member must hand in this test booklet and all printouts if any. Failure to do so will result in disqualification.
2. No equipment, supplies, or materials other than those specified for this event are allowed in the testing area. No previous BPA tests and/or sample tests (handwritten, photocopied, or keyed) are allowed in the testing area.
3. Electronic devices will be monitored according to ACT standards.

EXAM GUIDELINES:

You have been hired as a Financial Assistant and will be keeping the accounting records for Digital Solutions, located at 700 Morse Road, Suite 201, Columbus, Ohio 43214. Digital Solutions provides accounting and other financial services for clients. You will complete jobs for Digital Solutions' own accounting records, as well as for clients.

You will have 60 minutes to complete your work. The test is divided into two parts: concept knowledge and application knowledge.

Your name and/or school name should *not* appear on any work you submit for grading. Write your Member ID in the provided space. Staple all pages in order before you turn in your test.

Assumptions to make when taking this assessment:

- Round all calculations to two decimal places at the final step.
- Round all percentages to one decimal place.
- Use 360 days for interest calculations.

Multiple Choice – 2 points each; 60 points total

1.	A	16.	B
2.	A	17.	B
3.	B	18.	B
4.	C	19.	D
5.	B	20.	A
6.	A	21.	A
7.	D	22.	C
8.	C	23.	D
9.	D	24.	C
10.	D	25.	D
11.	B	26.	D
12.	C	27.	C
13.	A	28.	A
14.	C	29.	B
15.	B	30.	B

Account Identification – 1 point each; 45 points total

Account Name	Classification	Normal Balance	Financial Statement
Accounts Payable	L	CR	BS
Dividends	SE	DR	SOSE and BS (except just SOSE)
Sales Returns	R	DR	IS
Rent Expense	E	DR	IS
Unearned Rent	L	CR	BS
Income Summary	SE	N	N
Income Tax Payable	L	CR	BS
Capital Stock	SE	CR	BS, SOSE
SS Tax Payable	L	CR	BS
Allowance for Bad Debt	A	CR	BS
Purchases	C	DR	IS
Prepaid Rent	A	DR	BS
Retained Earnings	SE	CR	BS, SOSE
Accounts Receivable	A	DR	BS
Purchases Discount	C	CR	IS

Short Answer – 3 points each; 51 points total

1a.	19,404
1b.	19,800
2a.	210,000
2b.	134,380
2c.	344,380
3a.	Cash
3b.	75
3c.	5,075
3d.	June 8th, 2025
4a.	715
4b.	840
4c.	215
5a.	17,420
5b.	3,110
5c.	1,080.04
5d.	252.59
5e.	12,977.37

Job 1 – Financial Analysis – 4 points each; 40 total points

a.	10,030
b.	150,780
c.	248,180
d.	41,700
e.	3.6
f.	86,480
g.	206,480
h.	248,180
i.	45.7%
j.	9.9%

Job 2 – Depreciation – 1 point each on table; 3 points per question; 42 points each

	Asset 1			Asset 2		
	Annual Depreciation	Accumulated Depreciation	Ending Book Value	Annual Depreciation	Accumulated Depreciation	Ending Book Value
2025	2,600	2,600	15,400	800	800	4,500
2026	2,600	5,200	12,800	1,200	2,000	3,300
2027	2,600	7,800	10,200	1,200	3,200	2,100
2028	2,600	10,400	7,600	1,200	4,400	900
2029	2,600	13,000	5,000	400	4,800	500

Questions

1	Gain
2	300
3	Loss
4	550